ULTRA SOUND MONEY

Ethereum's Post-Merge Supply Dynamics and Monetary Premium

Post-Merge ETH Economics

A data-forward read on ETH issuance, burn, staking economics, supply equilibrium, and monetary premium.

121,603,980
Current ETH supply
latest supply context

0.1 Gwei
Base gas fees
historic low

$2,243
ETH price
USD

Audience: crypto-native investors and Ethereum ecosystem participants evaluating ETH as a monetary asset.

ETH Supply Growing at +0.83%/Year with Only 192 ETH Burned in 7 Days

Trailing 7-day snapshot: issuance overwhelms burn while gas remains historically low.

7-day supply change waterfall (ETH)

Burns offset only ~1% of new issuance over the trailing week.

121,603,980 ETH
Current total supply
latest supply overview

+19,445.89 ETH
Net supply added
+0.83%/year annualized

0.01x
Burn offset ratio
burns ≈1% of issuance

192.39 ETH
ETH burned
EIP-1559 burn

Current read-through: ETH is mildly inflationary today because base fee destruction is negligible versus validator issuance.

Base Gas at Historic Lows: 0.1 Gwei Average Suppresses Fee Burn

EIP-1559 burns base fees, but low demand compresses the burn engine.

7,144,934 wei
Blob gas avg
EIP-4844 data availability

0.15 ETH
Blob fee burn
$319 over 7 days

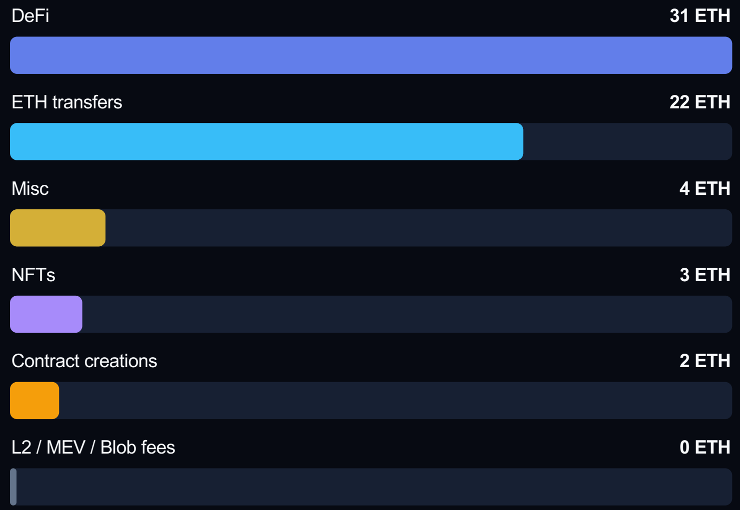
0.07 ETH
Single-block burn record
7-day high

Low gas = low burn = temporary supply inflation. The long-term 22 Gwei equilibrium assumption is far above today's 0.0–1.3 Gwei range.

DeFi and ETH Transfers Account for 85% of Weekly Fee Burn

Burn categories and leaderboard identify where scarce fee destruction is coming from.

Burn by category (ETH)



Top burn leaderboard entries

01	ETH transfers	21.74 ETH
02	Tether USDT	13.55 ETH
03	Various DeFi contracts	source-listed

~192 ETH
7-day total burned
all categories

0.00–0.01 ETH
Recent block burns
blocks 24,850,874–879

DeFi + ETH transfers dominate burn activity, but absolute burn volume is negligible in the current low-fee regime.

38.9M ETH Staked at 2.7% Issuance Rewards with Minimal Tips and MEV

Protocol issuance dominates validator economics while staking creates a material supply lock.

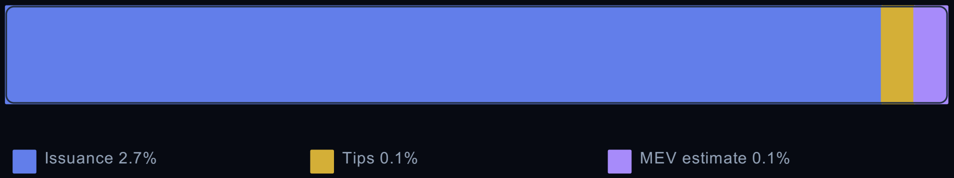
38.9M ETH
ETH staked
~32% of supply

9.1M ETH
Locked in staking contracts
avg 10.7 years

~2.9% APR
Validator reward total
issuance + tips + MEV

0.9 ETH/validator
Issuance reward
2.7% APR

Validator reward composition (APR)



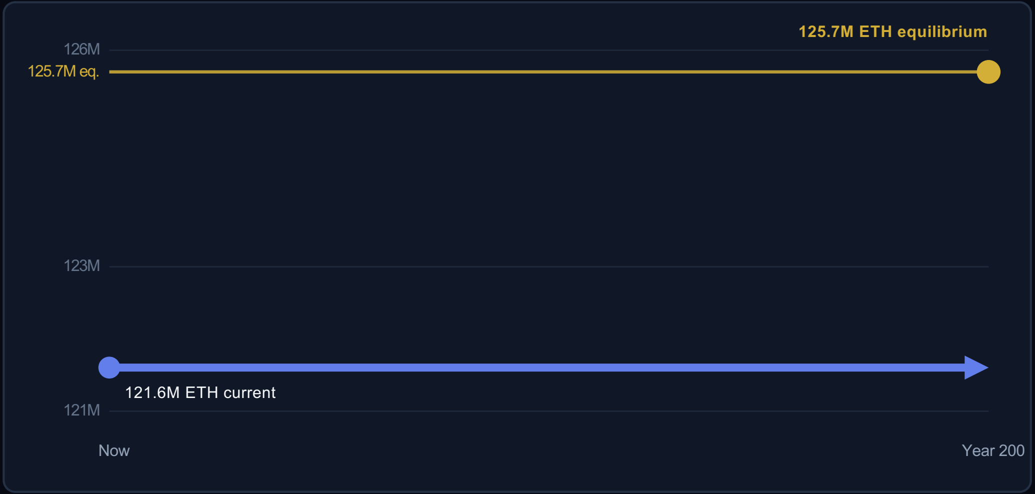
Scarcity engine: 38.9M ETH staked, with 9.1M ETH locked in staking contracts for an average 10.7 years.

Current rewards are mostly issuance; tips and MEV are each only 0.1% APR in the provided snapshot.

Long-Term Equilibrium Projected at 125.7M ETH with 1,037K ETH/Year Issuance-Burn Balance

The ultra sound thesis depends on sustained fee burn returning toward projection assumptions.

200-year supply trajectory: current → equilibrium



Visual guide from source endpoints; model assumption: 39M staked + 22 Gwei avg base gas.

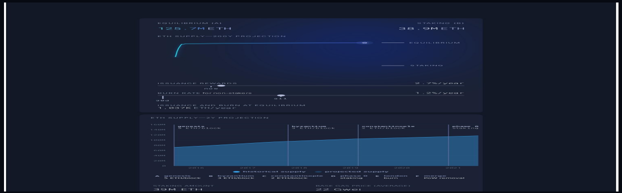
Post-merge supply growth has flattened dramatically, but current low activity keeps the system on the inflationary side until fee burn recovers.

125.7M ETH
Equilibrium supply
200-year projection

39M staked
Projection assumptions
22 Gwei avg gas

1,037K ETH/year
Balance point
issuance ≈ burn

2.8K / 2.2K
Normalized daily flows
issued / burned ETH/day



Historical era reference: genesis 5 ETH/block → Byzantium → Constantinople → phase 0 staking → London burn → merge PoW removal.

ETH at 18.7% of Bitcoin's Market Cap, Securing $272B in Native Value

Monetary premium is emerging across flippening ratios and total value secured.

18.70%
vs Bitcoin
market cap ratio

1.30%
vs USD
market cap ratio

0.89%
vs Gold
market cap ratio

Total Value Secured composition

Top value examples

Dai	$4.41B
Shiba Inu	$3.51B
CryptoPunks	$2.13B
Bored Ape Yacht Club	$0.68B
ENS	$0.63B
Pudgy Penguins	$0.51B

ETH secures over $307B in total value — growing monetary premium, but still early versus Bitcoin, gold, and USD benchmarks.

Key Takeaways: Ultra Sound Money Thesis Intact but Gas Activity Is the Critical Variable

Conviction framing for ETH as a monetary asset.

01	**ETH is currently mildly inflationary**	+0.83%/year as avg gas sits at 0.1 Gwei and burns offset only ~1% of issuance.
02	**The burn mechanism works, but activity matters**	Sustained on-chain demand is required for fee destruction to become monetary tightening.
03	**Staking creates a significant supply lock**	38.9M ETH staked; 9.1M ETH locked for an average 10.7 years.
04	**Long-term equilibrium remains structurally sound**	125.7M ETH equilibrium with 1,037K ETH/year issuance-burn balance under projection assumptions.
05	**Monetary premium is growing, not mature**	18.7% of Bitcoin market cap and over $307B TVS signal traction with runway.

Investor implication: monitor gas demand and burn recovery as the live variable that converts post-merge mechanics into sustained monetary scarcity.